involved a violent process of forced privatisation from above, which was the key characteristic of the economic transformation after the fall of the Soviet Union during the 1990s. In its most dramatic episodes, and especially during the loans-for-shares programme, the process, termed the 'sale of the century' by the economic journalist Chrystia Freeland (2006), consolidated the rise of a capitalist system based to a large degree on the power of a handful of business magnates from the middle cadres of the old Soviet nomenklatura (Fortescue 2006:8–9). During 'loans for shares', hitherto state-owned key assets of the Russian economy were leased out by the state through gerrymandered auctions for money to key players in the financial sector. In most cases these assets ended in the hands of Russia's business tycoons or oligarchs (Hoffman 2003:318–320). One of the resources in question was precisely Sibneft, which was acquired in a series of auctions in 1996–97 by Boris Berezovskii and Roman Abramovich to the tune of US$100 million (Jack 2005:175). The neoliberal zeal which animated Russia's transition to a market economy, and the political short-termism, lack of transparency and unbridled greed which framed the reforms, not only exacerbated social inequalities, but crucially perpetuated the relation of close proximity and, in the case of big business concerns, symbiotic interdependence between big business and the Russian state (Bunin 2004). The perverse story of the liberalisation of Russia's economy that was largely overlooked, or in some cases actively encouraged, by Western governments and business also ensured that a full institutional development to accompany the privatisation rounds would never be completed (Mukhin 2001). The 1990s thus laid the foundation of a political and economic set-up in Russia defined by informal sinews of restricted corporatist/authoritarian power, weak political and legal institutions, and extreme forms of capitalist accumulation and exploitation, with the attendant fractures between rich and poor and also often along a pervasive geographical urban–rural divide (UNDP 2009:175–177).

A second, equally important, phase in Russia's post-Soviet development is the meteoric ascent of Vladimir Putin, from an obscure local official in the St Petersburg administration to the highest levels of power, first through the posts of Deputy Chief of the Presidential Staff (March 1997), then, in May 1998, head of the FSB, Deputy Prime Minister in August 1999, Prime Minister later on that month, and finally, after Yeltsin's sudden resignation on 31 December 1999, Russian President until 2008. With Putin's election as President in March 2000 came a wide-ranging process of political reforms aimed at building a 'power vertical', a partial reconfiguration of the relation between state and business and an important reorientation of the main vectors driving policy abroad. Putin